The Social Radars

S4: Eric Migicovsky, Founder, Pebble & Beeper

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Jessica: I'm Jessica Livingston, and Carolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories. Carolynn, I am so excited. Today we are catching up with an old school YC founder. Today we have Eric Migicovsky, who is the founder of the Pebble Watch. I'm sure you all remember the first smartwatch out there. And then he was the founder of Beeper, which is the universal chat app that was acquired earlier this year by Automattic. Welcome, Eric.

Eric: Good to see you both.

Carolynn: Welcome, Eric.

Eric: This feels like OG YC. This is great.

Jessica: I know. I haven't seen you in ages, so I'm so excited to catch up. I want you to take me back to Waterloo because we funded you in winter 2011, and I remember around that time there were a lot of good startups and founders coming out of the Canadian University of Waterloo.

Eric: I think we were the first Canadian corporation that YC invested in.

Carolynn: Wait, we did? We didn't make you flip.

Eric: No, I think we were the first one.

Jessica: Oh, boy.

Carolynn: Oh.

Eric: And I think that forever made Kirsty look at me in a different way.

Jessica: Oh, of course. I was just going to say, I have a very clear memory of Kirsty Nathoo, our CFO, getting gray hairs over your Canadian corporation, and it was a very difficult thing for us to invest in. And didn't it take a really long time until we were able to give you your money?

Eric: Yes, I think so, but we got by. I think in the first few weeks we were living in this shared house in Mountain View. We knew that we were getting, I think, $21,000 from YC, which doesn't sound like that much now, but it sounded like a lot at that time because first of all, they were US dollars, second of all, we had not raised any money.

Carolynn: We should have given them Canadian dollars.

Jessica: Yes, we should have punished him for that.

Carolynn: Wait, didn't you survive? Before you applied to YC, you had the idea and weren't you surviving on all sorts of competition prizes?

Eric: Yeah, I would do those pitch competitions where you had to do your 62nd elevator pitch, and I would win those novelty size checks. Those really large checks, which you can't cash.

Jessica: Which you can't cash.

Carolynn: How do you cash those?

Eric: No, harder than it looks.

Jessica: How do you even cash? Are those just for show and then they actually wire you the money?

Carolynn: They take a photo of you with those.

Eric: I think those are just for show. Yeah.

Jessica: Okay. I want to talk about Pebble, because it was the first smartwatch back when smartwatches weren't even a thing. You had like invented this whole product category. So tell us the story about how you came up with that idea.

Eric: I thought of Pebble in 2008 while I was studying overseas at the University of Delft in the Netherlands. My grandfather actually went to school there, and so it was really cool to be able to do 60 years later, come back and live in this really old, beautiful town.

Carolynn: That is cool.

Eric: While I was there, given that it's the Netherlands, I was bicycling every single day to school, all around. And I had just bought an iPhone 2G, the first generation iPhone. It was the most expensive thing that I probably ever purchased. It was like $700 or something, and I kept having a nightmare that I would drop my iPhone into the canal as I was biking around.

Jessica: Legit.

Eric: Because I wanted to see who was texting or calling, and I was constantly on the bike. And so I had this idea to build a bike computer. You know those little rectangles that you would put on the handlebars of the bike?

Carolynn: Yeah, yeah, yeah.

Jessica: Yeah.

Eric: I thought, what if I had one of those and it could show me who was texting or calling, or just like a heads up thing on the bike. And I started playing around with screens from old smartphones, and hacking things together with Arduino. And then a friend of mine, I think his friend told me like, "Hey, what if you made this a watch instead of a bike computer, because then you could use it when you aren't on your bike." Some people don't bike all the time. And that's when it became a smart watch. And I put the first prototype together using Arduino and this old screen. Unfortunately, for me, the YouTube video is still online of this very, very, very first prototype in 2008.

Carolynn: Really? How big was it, by the way?

Eric: It was big.

Carolynn: Yeah, I bet

Eric: It was probably the size of a credit card. That first version, I never actually mounted on my wrist. It was way too big. But it got the point across, at least to me, and it was a hell of a fun project. I am not a great engineer. I'm technically an engineer, but I studied this thing called systems design engineering, which is what you pick when you can't decide which actual engineering program you want to do. And the motto, or at least the line that our professors would tell us is that, "Systems design engineers, they don't exactly know how to build it, but they sure as hell know which color to paint it."

Carolynn: Burn. No.

Eric: That was my engineering degree at the time. I couldn't really code that well, I couldn't really do any of the individual disciplines in engineering that well, but I was really proud of myself that I could put together a circuit board here and an Arduino here and a screen, and I wrote the code for it and I was very proud.

Carolynn: The Canadian humility is emerging right now, by the way. "I wasn't really good at anything. I just built this thing."

Jessica: I know. "I just built the first smartwatch." Okay. But you built that before you applied to Y Combinator.

Eric: A long time before.

Jessica: At what point were you when you applied to Y Combinator? And why did you decide to apply to Y Combinator?

Eric: That was two years later. So I started working on this in the spring of 2008, and we didn't apply to YC until fall of 2010. And so I had continued to work on it, we hadn't raised any money, we had won a couple of these pitch competitions. I couldn't convince any of my friends to actually join full-time, like people who were real engineers, so they were helping me on the side from their actual jobs. And yeah, it's hard. I want to under emphasize, I really couldn't do it myself. I needed to have my friends help me because I didn't have the skills to be able to do the whole puzzle.

Carolynn: Had you graduated at this point?

Eric: I graduated in 2009. So I decided not to go and get a real job. I decided to just keep working on this. I hired an intern from the University of Waterloo, a co-op student named Corey, who I think on January 3rd showed up to our shared student house that I was still living in, and knocked on the door and said, "Hey, I'm here for my internship." And I was like, "Oh, shit." I had to go and clear off space in the garage for him to build his first computer.

Jessica: Was this an unpaid internship?

Carolynn: Was he so bummed?

Jessica: This person did it for the resume?

Carolynn: Yeah.

Eric: He was paid, but the way that the University of Waterloo worked, at least at that time, is they subsidized something like 75% of your intern salary. So I think for the total cost of $2,000 for a four-month work term, I could pay Corey to work. And so he was the first real employee and real engineer, and he was a first year co-op.

Carolynn: Nice.

Jessica: Now, I'd like to point out that you are in Waterloo, which is famous for the headquarters of BlackBerry. So you were building this, weren't you, to sync up with BlackBerry? Is that not true?

Eric: Yeah. So the first prototype worked with an iPhone, but iPhone didn't actually have an API that would allow apps to talk via Bluetooth to other devices. So I had built a dongle that you would put into the bottom of the iPhone that would give it full Bluetooth access to be able to talk to a phone. That was never going to work. I mean, it might've worked, but at the time, BlackBerry actually had an API for Bluetooth accessories. And so being in the home of research in motion, I decided to pivot from iPhone to BlackBerry. Quite a decision to make in 2008. But hey, we were in this place where everyone had a BlackBerry, BBM was king of the world, and yeah, it felt somewhat natural at the time.

Jessica: And let's not forget, it seems like a long time ago, but BlackBerry was huge right before the iPhone came out. Absolutely huge. So can't blame me for that. So your watch was called, wasn't it called inPulse?

Eric: It was called inPulse, yes. And the company was called something different.

Carolynn: Oh, what was the company called?

Jessica: I remember this.

Eric: You invested in a company called Allerta. So we had a company name there. It was like Alerts, Allerta? Yeah. And we had the .ca domain, but didn't have the .com. And then we named the product something different.

Jessica: Oh, Eric.

Carolynn: Just piling up the hassles here.

Eric: You could imagine what my first office hour with PG was. Of course, we sat down and he was like, "Well, got to find you a new name." So after 20 minutes of sitting in front of-

Jessica: And a new domain name.

Eric: And a new domain name. Yeah, so after 20 minutes of picking out domains, he was like, we should call it "Devicelet." I remember that. He was like, "You could buy the domain Devicelet." It's like a bracelet.

Carolynn: How much was the domain, do you remember?

Eric: I think we bought Devicelet for $10, but as you can see, we did not end up calling the company Devicelet.

Jessica: Right, right, right. So then what happened?

Eric: Well, we applied to YC and then for some crazy reason you decided to invest, I think we were the second or third hardware company YC had invested in. Before was WakeMate, and the company that made those tablets, or screens, that sat on walls to show you analytics for your website.

Carolynn: Oh, I remember that.

Jessica: Leftronic. It was Leftronic. Oh, my gosh. Blast from the past. You were the third hardware company we funded. What was it like doing a hardware company back in 2011 when no one really was doing them?

Eric: It wasn't easy to raise money, as you can imagine. And so after demo day, we raised from people who took pity on us, I would say. We had two investors.

Jessica: Do you remember?

Eric: Tim Draper and Paul Buchheit? Those are the only two that, and I think two or three others.

Jessica: I knew you were going to say PB.

Eric: Yes. And so we were lucky that we were in the first batch of YC where Yuri Milner invested $150,000 in all companies site unseen. So he didn't know he was investing in a crazy hardware startup. And so that was critical to us being able to at least have, I think a couple hundred thousand dollars after YC. Though, that money drove me immediately to make some terrible decisions. And I will say that it's sometimes when you do raise money, it can fuel some bad impulses. And so what happened was we scratched together a couple hundred thousand dollars after demo day.

And we were making our first product called inPulse, which was this watch that only worked with BlackBerry, and this was a couple of years before we actually launched Pebble. I was like, "Oh, great, we have this money, what should we do with it?" At the time, we didn't have much inventory. We were basically manufacturing these watches in the garage. Literally we had a garage in Waterloo, where two high school students would man the assembly line and they would take circuit boards, they would put software onto the circuit boards, and then put them into this metal case that we had made at another facility in Waterloo.

Carolynn: By the way, you went back to Canada after YC, you went back?

Eric: No, the high school students were still running the assembly line while I was there.

Carolynn: And you weren't even there.

Eric: I wasn't there, but a friend of mine was kind of overseeing them and making sure that things worked. So they would ship me these boxes of watches from Canada. And I would put labels on them and send them out to people that had bought them. And at the time we had this money and we were like, "Okay, what could we do? Instead of manufacturing these at our garage, why don't we find a manufacturer in San Jose to build these?" There's tons of these contract manufacturers that specialize in doing small production runs here in the US. And so I drove around to a couple of these facilities, found one, and signed a contract to build maybe a thousand or 2000 of these watches that cost not the entire amount of money, but a large percentage of the money that we had just raised. And it was in the interest of driving down the cost because we were selling these watches basically at a loss or break even.

And if we could buy them in a little bit more volume, we could bring the average cost down and we could make a little bit of money. You can see where the story's going. So we bought about a thousand or 2,000 of these watches, using up quite a bit of cash. And then in September, first of all, it took longer to get the watches than we had thought. We were making these one by one, and we said, "Oh, well, we're already making them. This factory should be able to spit them out." And everything takes three times as long as you think. It is three times more expensive in hardware. And so by September, October when we finally got the first new watches, after having been out of stock for a while, we were like, "Great, we have 2,000, 3,000 people on our email wait list. Let's email everyone and say it's ready. Do you want to buy it?"

Jessica: Yeah.

Eric: Crickets.

Jessica: What happened when you did that?

Carolynn: Crickets. Yeah.

Eric: I think we sold hundreds.

Jessica: Crickets?

Eric: Yeah, maybe a hundred or 200 or something, and then slowly maybe sold another couple per week. But we were sitting on, literally sitting on, we had boxes of these watches that we couldn't sell.

Carolynn: At this point when you had all this inventory and nobody wanted to buy the pre-orders, this was still called-

Eric: InPulse. Yeah.

Jessica: Working with the BlackBerry.

Eric: Working with the BlackBerry.

Carolynn: Oh, still working with the BlackBerry. Right, I forgot about that.

Eric: We had just introduced Android support at this time. So it started to work with Android, but there was no way that this hardware could work with iPhone because it didn't have a specific chip that Apple required, something called an MFI chip. And so there was no way that it could work with the iPhone, and the iPhone was getting pretty popular. Now, we're into 2011.

Jessica: Oh, yeah.

Carolynn: By the way, how did you get all those pre-signed? You must've gotten enough buzz that people, at least a couple thousand people signed up, even though they never bought it, they signed up for it. How did you get that buzz?

Eric: We started in 2008, we launched, or 2009, launched quite early, way before the hardware was ready. And the way that I launched was, I didn't know anything about launching, but I think there's an adage like launch early and often, or launch as many times as you can. And I certainly did that intuitively without really knowing what I was doing. The first time that we announced inPulse, the smartwatch, there was a broken telephone game. It got picked up by the press. A couple bloggers heard about it. But instead of referring to it as a startup that was manufacturing a smartwatch, they called it the BlackBerry Watch because it was the only watch that worked with BlackBerry. But it took on a life of its own, where people thought that BlackBerry was actually making a smartwatch.

And so it went viral because that was big news at the time, and we hadn't fully launched. There was a lot of miscommunication at that time. And it went viral, and it peaked with, I remember some reporter putting a microphone in the face of Jim Balsillie or Mike Lazaridis, the CEO of BlackBerry saying, "What's your comment on the BlackBerry Watch?" And he had to say like, "No comment," which was pretty funny, but it caused us to go viral. And so when we ended up launching and sharing all of the press outlets that covered the BlackBerry Watch, that was this leak from BlackBerry, they ended up covering our tiny little startup launch and sharing our website.

Jessica: Nice.

Eric: Which was great.

Carolynn: That's a great story. Yeah.

Eric: And so we got thousands of signups from people who actually were interested.

Jessica: Why didn't people actually buy it? Just too much time passed?

Eric: It took us three years. It took us three years to start shipping, and they all got iPhones. They all switched from BlackBerry to iPhones.

Carolynn: I was just going to say, they weren't using BlackBerry anymore at that point.

Jessica: Of course, they got iPhones. Okay, so now tell us about how you switched gears and went to the iPhone and the famous Kickstarter story.

Eric: So we're now five years into doing my startup. It's the beginning of 2012, and it's one year after demo day. We had a dwindling amount of money left in our bank account. From the very, very small fundraise that we did combined with the large amount of inventory that I was sitting on, we had probably 50, 60 K left in the bank, which sounds like a lot, but it's not that much money.

Jessica: No, it doesn't, Eric.

Carolynn: No, it doesn't sound like a lot.

Eric: I mean, it sounded to us like a lot. We weren't despondent. Because we didn't have any burn, like I didn't have any employees, except for the interns. And I think we were spending a couple thousand dollars on rent, so that 60 K probably would've let us work for a while. And it's really weird because, nowadays, I think about what's your burn out date and all that stuff. And honestly, we didn't even think about that. There was no fear in my mind, at least with retrospect here. And I think about that often as of now, as a gray haired old entrepreneur, that naivete of being 20 something and not really worrying about the future was super helpful because if we were worried about the future, we would've objectively been scared shitless. We're a hardware company, we have $50,000 in the bank, we have all this inventory.

We would've started pivoting and thinking about all these other ideas and all this other... But for some reason, we just stayed the course. We were like, "Hey, this is more money than we used to have." I was like, "Okay, we've sold a couple thousand units at this point. What if we went and raised money?" That's what most YC companies do, is they get a bit of revenue and get some users and they have new products that they want to work on, and they go and they raise a seed round. And so I never really tried to do this after demo day because I knew at the time that... Oh, I guess another important thing is that my co-founder quit two weeks before demo day. And so...

Carolynn: Oh, no.

Jessica: Oh, my gosh.

Carolynn: I don't remember that story.

Jessica: I don't either. Why?

Eric: A variety of reasons, some well-founded, some less well-founded. So I never really went out and raised money after demo day because I was like, I had just lost my co-founder. I didn't feel like I had a really strong story at the time.

Jessica: You're not looking like the hot deal, are you, Eric, at this point?

Eric: No. So I was like, "Well, one year later, let's try again." And so I asked the YC partners, I looked at all the investors that would invest in companies at demo day. I did the thing where you look up investors that invested in this area and you said, "Oh, they kind of invested in hardware." And so I went and talked to 20 or 30 investors and got a couple meetings. Couldn't raise any money, of course. I don't think I did a single second meeting.

Carolynn: At those meetings. Were you talking about a device that worked with BlackBerry still? Was that still your case?

Eric: No, I was pitching Pebble. I was pitching what would eventually become-

Carolynn: So you're like, "I have a new thing. I'm going to build a watch that works with the iPhone."

Eric: Yes. I had finally figured out how to make a watch that worked with the iPhone and Android, and we were jettisoning BlackBerry to the side, and we said, "Look, we had this first product. We had a little bit of success. And we had this idea for this next product, and we're going to go and build this. But we need to raise money. We need to raise a million dollars in order to do the engineering work and the manufacturing work to get this new product out the door."

Jessica: Can I interrupt for one second? Just for our listeners, 'cause this is a long time ago, and smartwatches are such a big thing now. But back then, tell us what did the users love about it? You were your first user. Was it just getting alerts? Because I think you said in an interview, the first version of the inPulse Watch didn't even have the time on it. What were users loving about it?

Eric: It didn't keep the time. It would receive a message from the phone every minute with the new time.

Carolynn: Why is that so funny to me?

Jessica: Because it's so lame for a watch.

Carolynn: Get the time in the hardest way possible.

Eric: Well, here's why we did that, and I think this helps answer Jessica's question. So when I started working on this, I really wanted something that would tell me if I was getting a call or a text or an email without having to take my phone out of my pocket. It started with the bike, but it quickly evolved to the fact that we were constantly taking our phones out of our pocket. And having something on your wrist that would just have a little vibration buzz and it would show you... And this was back in 2010, I wasn't getting that many emails. I wasn't getting that many texts. It was like a couple per day, and I hated having a buzz on my phone, and so I never really had a ringtone. So the Pebble, the watch, would let me feel physically when I was getting a call or a text or an email.

And I mean, the first users were BlackBerry users who loved BPM and loved getting emails. And this would be just an early warning that you had a new message that popped up. And so I put inPulse, my first watch, on my wrist in mid 2010. I was probably the first person in the world who wore a smartwatch, and I've been wearing one ever since then for the core reason that I like getting a little buzz when someone texts me. I don't get every single notification pushed to my wrist, but I love looking down and seeing a text from my wife or an important message or seeing who's calling without your phone's sitting over there. And that was the core premise. It was actually almost pure luck that that first use case was such a powerful experience for people. And it wasn't for everyone. Not every single person wanted a buzz on their wrist, and that makes sense. But the people that did want it, it worked. It delivered that exact experience that they wanted, even though it was this crazy hack-together first version that had all those problems that I told you about.

Carolynn: What are the legitimate reasons why VCs turned you down when you went out shopping the Apple phone watch, the Pebble idea. I mean, I'm sure they gave you BS reasons, but what were the real reasons?

Eric: Yeah, why wouldn't I have invested in myself?

Carolynn: Yeah. Well, no, I mean, you just explained people who loved it, loved it, right? And there was enough of them. Why was that not compelling to them, why couldn't you raise money, do you think, for the public?

Eric: I think so, knowing now, again, that naivete helped me a lot because once we ended up raising money on Kickstarter and having to go and build all of these watches, there were a lot of very good reasons why it's harder for a young first-time founder to build a new hardware startup. And we could also do a little bit of post-script on the five years of really big consumer electronic hardware startups in the Bay Area, some of them funded by YC as well, that all blew up after Pebble went on Kickstarter. And I think that now having the time to reflect on it, consumer electronics is a very hard category for a startup, a traditional Silicon Valley startup, a company that's designed to grow quickly. It's difficult because the timeframes of building hardware are longer than pushing software.

As I think I've shown with my history. It's not impossible, and it's not super hard, but it's this added friction that makes it harder to run the same standard business process that startups use in that hardware sense. And I think that there hadn't been many critical successes for consumer hardware. I can't actually think of any at that time, Fitbit was just starting, GoPro was just starting. And so there were no clear stories that people could point to. There was no Reddit. There was no Reddit. There was no very clear YC success where people could point at and say, "Here's an example," or Dropbox like, "Here's an example of the prototypical YC startup that did its thing, created its product, got it out there, and then you pour oil on the fire, and it just grows."

Jessica: Right. Yeah. So VCs turn you down, then you come up with the idea for Kickstarter. Tell us about that.

Eric: So Kickstarter was at its very early stages, there had been a couple projects. One of the most successful Kickstarters was actually this case that you would put on an iPod Nano that would turn it into a watch, little strap. Do you remember the iPod Nano was this tiny-

Carolynn: Oh, I remember the iPod Nano.

Jessica: Of course, I do.

Carolynn: Yeah.

Jessica: Yeah.

Eric: So that was the biggest Kickstarter at the time, which coincidentally was another watch, and there hadn't been that many projects that had launched any kind of hardware electronics on it. I had funded a couple projects, and in April after I realized, well, I guess I had still held out hope that investors would come to their senses and realize that I was building something interesting. And what really brought me down to Earth was an office hour with PG.

So I went to him, and in normal YC partner office hour traditions, you come in with one thing that you want to talk about, but immediately they realized that there's some critical problem with your startup that you don't want to talk about and switch the conversation to that. And so I think I wanted to talk about something, and PG centered me back on the fact that I was not going to raise money from investors. And he wanted to think of, were there any other mechanisms that I could use to get funding? Because you need money as a startup, you can't run out of money. And the first idea was, "Hey, is there any software that you've built that we could actually sell? You built this operating system that powers the smartwatch, could you sell it to other people that are building smartwatches?"

And I was like, "No, not exactly." Plus, I really wanted to make this. I wanted it myself. That's the core reason. And so towards the end of the 20 minutes after we had walked up and down the street 20 times and PG was beginning to look at his watch, I was like, "Well, there's one other thing that I was thinking about. And it was going on this website called Kickstarter, and it was this fundraising platform where you wouldn't actually fundraise for equity in your startup, you would be selling pre-orders or to the product."

And he was like, "That sounds like a great idea. You should just do that. How fast could you do, a couple weeks? Just go and do that." And that was it. We had a mission, three weeks from, I think, that office hour we launched on Kickstarter, which is crazy to think about now because obviously it was the right place at the right time. It was like the perfect storm of the product of Kickstarter as an idea that went viral. But we also, we didn't do it in two months. We did it in a couple of weeks. We filmed the video. We just did it. We didn't think about it. And I really like that coming out of YC, there's this sense that things could take a long time, but they don't have to take a long time.

But if you really clear your schedule and say, "This is the one thing that we're going to accomplish." This happened a couple times, all prompted through conversations with, I think, PG and other partners. During YC, PG challenged us, he was like, "How quickly could you write an SDK for the watch, to get developers to write apps for it?" And being engineers, we were like, "Oh, I think we could do it in a couple of weeks." He's like, "This is your permission. Just go and do that. Don't work on anything else. Just spend the two weeks, go and launch that." And it was very clarifying to have, I think, someone else help tell us that we had the power to not do other things. We could just focus on doing one thing.

Jessica: So Kickstarter, which was pretty new at the time, crowdfunding. A hundred thousand dollars was your goal, right?

Eric: Yeah.

Jessica: What happened?

Eric: Well, the night before we posted... So at the time, I did have one colleague working with me, a guy named Andrew, and a friend of mine named Rahul, and two more interns. And so we had-

Carolynn: Interns everywhere.

Eric: Yeah, we had a lot of interns. We had thought about what success would look like. Obviously we wanted to raise a 100 K. That wasn't going to happen immediately, but we wrote on the white board how much each of us thought we would get after the first day. And I think the highest bet was $4,000 or $5,000.

Carolynn: What was the unit price of each watch?

Eric: A hundred dollars at the start. And I think we also had that $125. Yeah.

Carolynn: Okay.

Eric: So a couple hundred watches. Yeah. In the first day we raised $600,000.

Jessica: Wow. Amazing. That's amazing.

Carolynn: So there was a huge appetite for this.

Eric: It went viral.

Carolynn: Yeah.

Jessica: Wow. And then in total, you raised $10 million though, did you not?

Eric: Yeah, we probably could have raised more, but after, I think we had 85,000 watches pre-sold at $10 million. We kind of paused it, and we said, "That's enough for now."

Carolynn: And it was called the Pebble at this point. You were selling the Pebble.

Eric: Yeah, we had renamed it to Pebble.

Carolynn: Okay. Yeah. Yeah. Okay. So what'd you guys do next?

Jessica: Yeah. Did you successfully fulfill these orders?

Eric: So again, half the company was interns, and then I had my friend Rahul and Andrew. We knew that we had struck gold. We had gotten this amazing opportunity. And I remember after the first night after we had a couple of drinks at the bar and celebrated, I ended up going out for a smoothie or a burger at 2:00 AM with another YC founder, Rajat from E la Carte. He told me again, this is like 12 hours after we basically had the biggest change to our lives ever. And I remember the conversation with him, he said, "You have a chance to bottle lightning and take advantage of this incredible series of forces that are all around you. And during the campaign, you could either..." My first inclination was like, "Holy shit, we need to go and fly to China, we need to find a factory, we need to start making this."

And Rajat's advice at the time was, "What if you just got it a little bit bigger? You have this amazing first day. What if you did a bunch of PR? What if you tried to pump the story up even more?" And that helped because I ended up, instead of immediately flying to China and starting to mass produce these, I flew to New York and I hired a PR firm, and we did like a circuit and tour. And we actually drove a ton of PR interest in Kickstarter, in Pebble, and that's really what helped drive the campaign from a million bucks to just this crazy $10 million run that we had.

Carolynn: And during that time, were you nervous, like, "Oh, crap, I got to build these." And by the way, I don't remember how Kickstarter worked, but did you have to deliver within X number of months or what?

Eric: Yeah, we had an estimated delivery date of September, and it was April.

Carolynn: Oh, my... Oh, my...

Jessica: So as you're touring around with your fancy New York PR firm where you're like, "Okay, this is great. That was great advice. But now I got to go build these things and how is that going to happen?"

Eric: I, again, was pretty naive. I think my mom would ask like, "How are you sleeping? Isn't the stress incredible?" I said, "I was sleeping fine."

Jessica: "What are you talking about, mom?"

Eric: Yeah. I think, again, it really helped that we were a bit naive because objectively, this is crazy, 85,000 watches. I'd never built a consumer product beyond just assembling it in the garage. We had never done this before. I'd never been to China. I'd never mass produced something. And again, I think about how much that helped us, because it allowed us to just not spend our whole day thinking about these complex, hard, impossible problems. And we just did it. So obviously we told people we weren't going to ship in September. So the first thing I did was I ripped the bandaid off and I said, "We're not going to make this September date. We're not even going to give you another date."

I went out on a limb. I said, "Trust me, we're going to ship, but I'm not going to tell you when we shipped, because I knew that any date that we gave, people would be immediately ruined." So me, Andrew, and my friend, who had been doing industrial design with us, got on a plane to Shenzhen and flew there and spent, I think off and on for the next eight months, I spent half my time living out of a hotel room in Shenzhen or Dongguan, in these factory cities in China. And through a lot of perseverance and not taking no for an answer, we started shipping the first Pebbles just eight months later, in January of 2013.

Jessica: Wow.

Carolynn: Wow. Nice.

Jessica: And how were they received by the users?

Eric: Wow. So I was actually looking, I'm not sure if you followed, there's a bunch of hardware startups that launched this year with AI wearable devices. There was Rabbit, there was Humane, there were a bunch of different products that launched, and they all faced a lot of negativity from the press. Like MKBHD did this famous takedown of both of them, and it became really easy for them to be punching bags because they didn't live up to these inflated, gigantic expectations that-

Carolynn: Because Apple's the bar, like beautiful, perfect Apple design is everybody's expectation.

Eric: Exactly. Yeah. And so objectively, the first version of Pebble was not great. It did work and it did the exact thing that it had to do, but there were a ton of rough edges, and it was so bad. There were some problems with the hardware itself. We had an issue where the connector between the circuit board and the screen would shift or move, and it would cause this static issue. We ended up having to replace, I think, five to 10% of all of the first generation Pebbles. And that was a big problem. But the way that we approached it and the way that we solved it was just by providing... We knew that we had this problem. There was no structural way that we were going to be able to fix it without dramatically changing how the product was built. And so instead, we fixed it with customer support.

We hired a big customer support team, and if anyone ever who's getting to the point where people were kind of scamming us, if anyone ever complained that there would be a problem, we would just ship them a new Pebble. And it cost us a little bit of money in those repairs and replacements. But it earned us the goodwill with the community to say that they were standing behind their product. Now, unfortunately, sometimes the replacements that we shipped to them also had the same problem. But looking back, we had so many problems, and in the grand scheme of things didn't actually matter. We managed to pull past a lot of these problems. Another crazy bug that we had was the Bluetooth APIs for iOS, for iPhone at the time were not great for sending notifications. If you walked out of range and then came back into range, the watch would not receive notifications until you went into the settings menu and toggled Bluetooth off and on again.

Jessica: Oh, no. Ouch.

Carolynn: What a pain.

Eric: And it became known in the Pebble community as the finger dance.

Jessica: The finger dance?

Eric: Yes.

Carolynn: The finger dance. No. Sounds bad.

Eric: Looking back with hindsight, that was another great decision that I made. When we raised $ 10 million on Kickstarter, we had three or four people at the company. A traditional approach to this might've been to say, "Hey, we have now funding. We basically have infinite money. Let's go and hire a team of people that have done this before, so that we're not starting from scratch building a new consumer product by ourselves." I can't remember if this was advice. It probably was someone who told me this, but they were like, "Look, you can't build a new product and hire out a team at the same time. There's just no way that you can do both." And I was thinking about it, that if we had to go and hire a team of people in the band, do interviews and all this stuff, it takes a while to build a team and to get them to gel and to work together.

And so I said, "Screw that. I'm just going to phone my best friends from Waterloo and say that they have to come and work for me." And I already knew them. I knew that they were great. None of us had ever built anything like this before, so we had no idea what we were doing. But I knew them and I loved working with them. These were some of my best friends. And I phoned them up on a Wednesday during the Kickstarter campaign, and I said, "You guys need to come and just come to California." And I think I was eight for eight in terms of people getting on a plane two days later and coming to California.

Jessica: Like quitting their jobs and coming?

Carolynn: Oh, wow. Wow.

Eric: Quitting their jobs. Two of them moved, not many of them moved, but they all quit their jobs within a day or two and flew down. And we had our kickoff meeting literally three days later on a Friday in California, where we said on the whiteboard like, "Here's what we have to do." Oh, one of the other really beautiful things about all this was some companies wonder what they're going to make. What is the product going to be? What are the first features that they're going to have? In our case, we had this Kickstarter page that was this perfect elucidation of everything that we had to build. It was a list of marching orders, like, "First, we have to do this, then we have to do that, here's the features that people want."

And so we put those up on the whiteboard and we said, "How in the world are we going to build this?" And we hashed it out over the weekend. And so I hired eight people, eight of my really good friends, plus someone that I had never met before. He got into an airplane from the Netherlands as well to fly, and he became our iOS engineer. He had never met any of us, but someone was like, "You should go and work for this guy," and I was like, "Great." No interview process. I just offered him the job immediately, and he took it.

Carolynn: And he was good?

Eric: He was amazing.

Carolynn: Like that paid off?

Eric: Yeah, he's one of the smartest people I've ever met.

Carolynn: Wow. So lucky.

Eric: But that decision, that fork in the road where we could have gone and hired a professional team and spent weeks and months doing interviews and team building, I just decided to do the other thing, which is like, do none of that, hire eight people immediately, and not hire any more people for another 10 months. So between that kind of mega weekend where all of my friends flew in and when we started shipping on Kickstarter, I did zero recruiting, zero interviews, we did no team building. So we were 11 people when we shipped 85,000 smartwatches.

Carolynn: That's amazing actually. That's so surprising.

Jessica: Oh, my word. Wow. Okay. So you're at your high now. You've built this new product, the Pebble watches. You've shipped them all. You've hired your smartest people you know. But Pebble doesn't ultimately work out.

Carolynn: Yeah.

Jessica: Tell us about its decline.

Eric: So that's 2012, and then the company lasted until 2016 when we sold to Fitbit kind of for pieces and the company ceased to exist. So what happened in those intervening years? Well, we shipped over 2 million smartwatches. We did a quarter billion dollars worth of sales and grew to 180 people at our peak.

Jessica: Oh, wow. You eventually hired people.

Eric: Eventually hired people.

Carolynn: In Palo Alto? In Palo Alto?

Eric: In Palo Alto, yeah.

Jessica: See, Carolynn, I love having Eric on the show because my dream of making Palo Alto super cool again, Eric's always thought it's super cool.

Eric: We're the only people, Jessica.

Jessica: We have to grow our users. So you have 180 people at the company now. Okay, this is all sounding so good.

Eric: It sounds great, right? Everything's coming up, Pebble. So I've had the benefit of hindsight now, and I can look back, and I think there were some, well, the primary reason why Pebble didn't succeed in the long term was I lost sight of the vision. I lost the kind of carrying force. Remember how I was describing this Kickstarter page where it was so easy to know what to work on? Because we just looked at this website and we said, "Here's the next feature that we're going to build." Well, at some point, we'd finished all of the features on that page, and we were thinking, I was thinking, "What's next? What's the next product that we build? What are the next features that we work on? What is this company going to be?"

And we really, I never really got past that first Kickstarter page. We ended up building new products and more products and did a couple more Kickstarters, but I never clearly identified what is the long-term reason why this company exists? What's our mission? What's our vision for the future? What role will we play beyond just making a cool watch that shows you notifications? There are a couple competing ideas in my mind, like, I have this grand vision for human-computer interfaces. I love the sci-fi vision of the world where we mesh with computers and interface in some way with computers. And this was before AI.

And so that was simmering in my mind, but I never had the confidence to really pivot the company all around that. I never set that out as the vision, the goalpost, the North Star. Instead, I tiptoed around the problem. I made certain things the focus for six months or for a year. We did a woman's watch where we made this really beautiful, small, tiny smartwatch. We did a color watch. The first version was black and white, maybe it would be cool to do a colored one. And we ended up identifying sports and fitness as something that a lot of people wanted. We talked to our users and they were like, "Oh, we want a heart rate monitor. We want to track our runs and that kind of thing."

And so in late 2015, early 2016, we started adding heart rate monitors, and that's what Apple Watch had, and that's what Fitbit had, and so we followed them. Again, this is all with hindsight. At the time, I probably was thinking that I was making great decisions, but with hindsight, it's so clear to me that wasn't who I was or who I am at my core. At the core, I'm a hacker. I love building products. I love the joy of seeing something that I helped build come to life. Some of my favorite parts of the Pebble experience was this community of developers that built up around Pebble. We have 30,000 people who are building watch faces and watch apps, and just posting on Reddit and posting cool hacks that they did with Pebble. And that was like-

Jessica: Yeah, I remember people used to build a lot of apps for the watch.

Eric: And they were just fun. They weren't like, "Oh, I'm going to go and launch a new startup or product or whatever. It was. My wife learned how to code by writing a flash card app. She's a biochemistry teacher. And so she wrote this app that you could learn your amino acids by flicking your wrist and seeing, like, it would test you, which amino acid is this and what does it do?" And so it was just a bunch of really fun... I just loved signing onto Reddit every day and seeing what people had built. That was my core, and it still is. That's what I love about building new products, is that initial experience of launching it and seeing what people do with it. And I guess I wasn't really honest with myself. I was thinking that we needed to be someone that we weren't.

And that led us, me, to a really disastrous Christmas season in 2015, where, yet again, we bought too much inventory. And at the end when all the dust settled, we had projected $100 million in revenue that year, but we only did $82 million. And the Delta was inventory that was stuck and left at our warehouse, that put us into a bit of a tailspin where we needed to clear that inventory and sell it mostly at almost breakeven or a loss. And we needed to work on the next product. We needed to do a layoff in order to bring the massive number of employees that we had down. And it put us into a tailspin where... I guess, if I had a vision, if I knew exactly what I wanted to do with this company, I might've been able to help us pull out of that tailspin and craft a vision for the future that we would've been able to execute on. But I think I had lost the steam internally.

Carolynn: You know what's really notable about this answer to me, is that it isn't because of competition. And it could have easily, I think, been like, "Oh, well, with the rise of Fitbit and the rise of the Apple Watch and all these other things, we just weren't going to make it." But instead, you have this really insightful answer that's really personal to you and your vision and your mission and all that. I think that's really interesting.

Eric: I think the competition helped lead me to a bad path. I looked at Garmin and Fitbit, and I saw them doing health and fitness. I was like, "We should do that as well." It was also, I think, this drive to grow and to constantly have the next product and constantly get that number to go up, which is what you have to do as a startup. Once you get onto that track, once you get onto the train tracks of this venture-backed startup, there's no way to say, "Well, we're happy with the state that we're in right now. We're really happy with the product that we built and the success that we've had. We want to just pause things there." And that never even came across my mind. I wasn't thinking that we shouldn't figure out a way to grow this.

Carolynn: So you did eventually raise venture money?

Eric: We did. We raised $15 million from CRV in 2013. And then more even the thing that actually really put us into this death spiral was raising $20 million of venture debt from SVP, which was...

Jessica: Whoa, whoa, whoa, whoa. You raised how much in venture debt from Silicon Valley Bank?

Eric: 20 million. Yeah.

Jessica: And did they come in after it?

Eric: Yeah, exactly. So this is the classic example, and it's why I recommend people-

Jessica: I want the story, Eric.

Eric: We are the example of why companies generally should not take venture debt or take it only under very specific circumstances. And I know that PG has been going on a tirade on this on Twitter, I mean, he's totally right. Venture debt is not the right vehicle for fast growing startups to fund their business. Venture debt is for people who have a repeatable process of you put money in one side and you get more money out the other side. If we had used our venture debt to fund growth of a business line or something like that, instead we paid salaries and payroll and stuff with venture debt. And I didn't viscerally understand that that venture debt is very different from dollars that come in from investors. So when we got into a tight spot after that inventory problem in 2015, in 2016, we started pulling down our venture debt and using it to fund continued operation of the business, but we didn't have revenue coming in to pay off that deadline. And so debt, venture debt has these things called... Carolynn, you probably remember these the exact...

Carolynn: Negative and positive covenants?

Eric: Yeah, covenants. That's what I was... Yes. We had covenants that we had to meet. And covenants mean you have to maintain a certain amount of cash in your bank account or else the bank starts phoning your CFO like every week and then every day and then every couple hours to say, "What's the plan? What's next?"

Jessica: They own you.

Eric: Yeah. Yeah, exactly.

Jessica: So then did they say sell for scraps now or what?

Eric: So I think they actually gave us quite a bit of time to make mistakes and to make more problems for ourselves. I don't think I got the call, "You must sell it," at any point. But towards the summer of 2016, I knew we had a really complicated 2016. It was a very rough year. It started with a layoff where we had to downsize and get the burn back on track. We had to empty all this inventory or sell all this extra inventory that we had. And then we had to create a new product because in hardware, you only really make money when you launch a new product and get this bubble of enthusiasm from the launch of a new product.

And there were a lot of problems that hit us in 2016, but again, I don't think those were the reasons why the company is no longer around. I really do think that we probably could have figured out a course through, I think we could have figured out a deal with

SVB, maybe could have raised more money if I just had something that was pulling me through this. As a solo founder, if I couldn't speak on behalf of the company and couldn't motivate people to do this, there was just no future for it.

Jessica: Doomed.

Eric: Yeah.

Jessica: I'm sort of deflated now, Eric.

Carolynn: We need to move on to something positive.

Jessica: Yes. First of all, thank you for opening up about all of this because it's very rare that founders can look back and share why they failed and be honest about it. Usually it's easy to blame these outside forces, but I think you saying you lost track of your North Star and were maybe a little burnt out. I appreciate your openness. There is a bit of a happy ending though, because after you sold Pebble, you came to work at YC as a partner for four years.

Eric: I know. Well, I want to thank you and PG and Michael and everyone for giving me the chance to do that because I was feeling pretty down. At the end of 2016 I don't know if you remember, but I came over for dinner once and we sat in the library and talked about the future, and I felt like I had zero marketable skills. I had never had a real job.

Carolynn: I was just going to make the point, you had left Waterloo, started your own company and ran it for all that. So you never actually had an employer that wasn't yourself.

Eric: Correct.

Carolynn: That's kind of remarkable.

Eric: And I was like, "What can I do? Could I be a product manager somewhere?" I just drove this company into the ground, which was a very public failure, and I was like, "What in the world could I actually do with myself?" And I think you or PG were like, "Well, you should come and work at YC." That felt amazing. That felt amazing.

Jessica: We knew you were smart and talented, even if your company ultimately failed.

Eric: That I appreciate that a lot.

Carolynn: Failure of your startup does not disqualify anybody in any way. I think that's almost like you almost learn more lessons from that.

Jessica: And so you were at YC advising startups for four years, but then just so our listeners know, you went on to start another startup called Beeper, which we're not going to have time to talk about today, but it was the universal chat app. And you went through YC again in Summer '21. Was that still virtual YC because of Covid?

Carolynn: Yeah. Yeah, I think so.

Eric: Yeah.

Jessica: Oh, bummer.

Eric: I think there's two types of partners at YC. There were partners that had done their second startup, like Michael, and were very happy to be past their second startup and advising companies and investing. And then there were people, like me and Adora, who were there and happy to help and work at YC, but we're itching to do the next one. And so I-

Jessica: Still hungry.

Eric: Yeah. Spent four years at YC, had an amazing time, but I knew that there was another product in me. And so towards during Covid, I was just working on the side project of building a universal chat app, one app that I could use to chat with anyone on any chat network. And again, it was to solve a personal problem. Through Pebble and having gone to school in Europe, I've collected friends on each individual chat network. And it's crazy when you think about it that there's 15 different apps that all do the exact same thing, send text messages to your friend, and I just wanted one single app that I could use to chat with everyone.

Jessica: What are you doing now?

Eric: I am beginning to work on round three.

Carolynn: That's a surprise answer. I thought you were going to say something like-

Eric: Well, it's only as of three weeks ago. Remember, as we were setting up this, I was like, "Well, if we record this after this date, then there might be different things to talk about." And so this is after that date.

Carolynn: Wow.

Jessica: Oh, wow. Yeah, that's a real teaser. Oh, my gosh. I'm dying to know. Okay. But I guess you won't share now, but I'm dying to know what you're working on. Maybe that will be part two. You can say anything. Inquiring minds.

Eric: Yeah. I think I have realized a lot about myself after having gone through the ringer twice. But at the core of it, I love building products, mostly for myself. I'm a gadget guy. I love using new software. I love using new tools. I love that experience of downloading something and trying out and quickly seeing if it's good or not, or throwing it in the trash. It's funny, I actually gave a startup school talk on how to talk to users. That's the number one thing that people come up to talk to me about, it's like, "Oh, I listened to your talk about how to talk to users. It was so helpful."

Jessica: That's great.

Eric: I like talking to users and I spend a lot of time doing it, but at the end of the day, I love building products for myself. I think it's so much easier.

Jessica: You're the user.

Eric: Yeah. Think about it, with Pebble, I wanted a smartwatch. With Beeper, I wanted this app and no one else was doing it. I couldn't wait for someone else to build it, so I just had to build it myself. And I think that that's who I am. I love building things, tools, gadgets, little stuff for myself. This next round is going to be about building things for just being honest with myself. I don't think that I am a big time 'takeover the world' startup founder. I don't feel this drive where I need to be the next Steve Jobs or something like that. I am very comfortable with the fact that I'm pretty good at making products, especially for myself. And so I'm just going to do that.

Jessica: I think that's going to resonate with a lot of our listeners. I think that's amazing. And you know, that's how the best products get started though, building something that you yourself want to use desperately.

Eric: I think I'm now honest with myself, where I'm setting out with that goal, and that's the explicit goal. If other people want the things that I make, great, but I'm not going to set out with the explicit mission of talking to people and thinking about what their needs are. I'm going to be thinking about what I want.

Jessica: I love it.

Carolynn: I love that. Yeah, I think that's great.

Jessica: Well, this was really fun. I loved catching up with you. I can't wait to hear what you're doing in more detail. And we've got to have you back for part two to talk about the Beeper Apple crazy-

Eric: Whirlwind, yeah.

Jessica: ... whirlwind. And last question, because I've been watching Grey's Anatomy recently. Do you ever get people telling you you look like Eric Dane?

Eric: No. Who's Eric Dane?

Jessica: Oh, my God.

Carolynn: Who's an actor.

Jessica: He's an actor. Please just Google him. Do you not agree, Carolynn? Is it me?

Carolynn: So I don't know that it would've popped into my head unaided, but now that you mentioned it, yes.

Eric: I think Liz has watched a whole bunch of that. Okay, I'll ask Liz.

Jessica: Ask Liz, your wife.

Carolynn: Yeah, actually your... She must have some opinion. Yeah.

Jessica: Yeah. Ask Liz like, "Do you get an Eric Dane vibe sometimes when I walk into the room?" See what she says.

Eric: Okay.

Jessica: And come back here to tell us exactly what she said.

Eric: Round two.

Jessica: All right. Well, this was awesome. I loved hearing about your story, and I know listeners will enjoy hearing it too. So thank you for coming on today.

Eric: Thank you both. It was great.

Carolynn: Thanks for coming, Eric.

Jessica: All right.

Carolynn: See you soon.

Jessica: Bye.

Carolynn: Bye.

Jessica: I loved that, Carolynn. It was so fun talking to Eric.

Carolynn: You know it's funny, halfway through I realized the Pebble story is pretty, like there's a lot to tell there. And I was thinking to myself, we're not going to get to Beeper. And I started to remember that there was just a lot of stuff that happened in sort of a short period of time with Beeper because it wasn't around for that long. And so, anyway, yeah, I really do want to hear the Beeper story, the behind the scenes.

Jessica: We're going to come back with behind the scenes, because this was in 2021 I was living under a Covid rock in England. And so I don't know any of this stuff from Beeper. So we've got to have him back for part two. I know he went into great detail about Pebble, but I think it's really important because he said himself, he was the first wearer of a smartwatch ever. He invented and defined a new multi-billion dollar product category, and it succeeded and then failed. And so I thought I really wanted to understand what was going on because it was so fascinating.

Carolynn: No, I think that was a really good decision. I think it would've been not good to only do a short period of time with Pebble because I do think that's a really good story and a total standalone story. So part two.

Jessica: All right. Part two, we'll get that on the books. All right, I will see you soon, Carolynn.

Carolynn: Okay. Bye.

Jessica: Bye.